Demand Analysis

Learning objectives

1. 3 Conditions of demand
2. Types of Demand
3. Demand schedule
4. Demand curve
5. Demand function
6. Law of demand
7. Exceptions to the law of demand
8. Individual and market demand

Importance of Demand Analysis

Three Conditions of Demand

1. Desire to buy something.
2. Ability to pay for that goods or services.
3. Desire to spend money for buying that good or service.

Types of Demand

- Price Demand
- Income Demand
- Cross Demand

Price Demand

- Two terms to describe the demand
  1. Price
  2. Quantity demanded

- Price of a Product affect the demand:

Price (P) ↥ Quantity Demand (Qd)↓
Price (P) ↓ Quantity Demand(Qd) ↥

Income Demand:

- Two terms to describe the demand

  1. Income
  2. Demand

- For Normal Goods: Consumer's income will affect the demand positively:

  Income(Y) ↥ Demand (D)↥
  Income(Y) ↓ Demand (D) ↓

- For Inferior Goods: Consumer's income will affect the demand inversely:

  Income(Y) ↥ Demand (D) ↓
  Income(Y) ↓ Demand (D) ↥

Normal Goods

- Goods that experience an increase in demand as the income of an individual increases are called normal goods.

Inferior Goods

- Goods that experience a decrease in demand as the income of an individual increases are called inferior goods.

Cross Demand:

There are 2 types of cross demand for inter-related products:

1. Cross demand for substitutes.
2. Cross demand for complements.

Cross demand for substitutes:

Here,
P = Price
Qd = Quantity demand

Tea(p)	Coffee(Qd)
P(↥)	Qd(↥)
P (↓)	Qd(↓)

Cross demand for Complements:

Here,
P = Price
Qd = Quantity demand

Ball (p)	Bat (Qd)
P (↥)	Qd(↓)
P(↓)	Qd(↥)

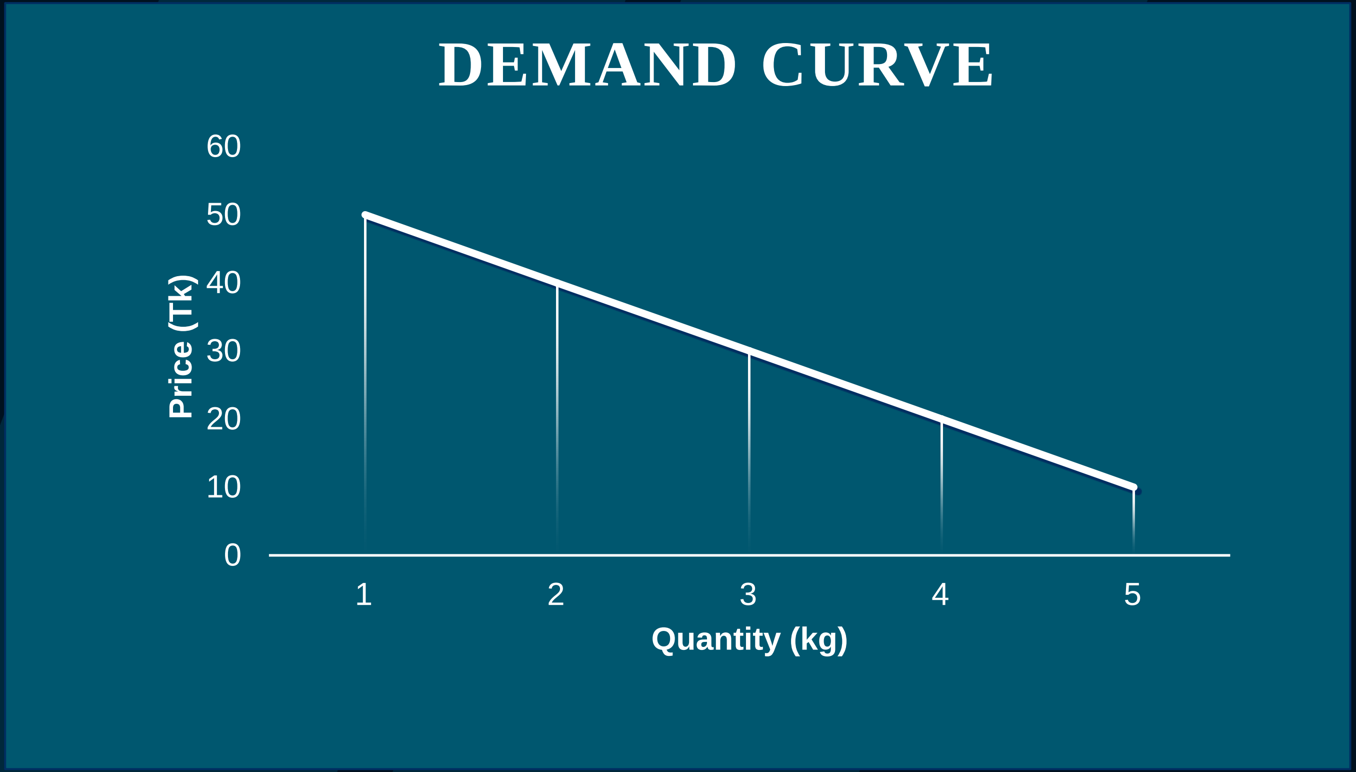
Demand schedule and curve:

- Demand schedule: Tabular representation of negative relationship between price and quantity demanded.

Price(Tk)	Quantity Demanded (kg)
50	1
40	2
30	3
20	4
10	5

Demand schedule and curve (Cont.):

- Demand Curve: Graphical representation of negative relationship between price and quantity demanded.



DEMAND FUNCTION

- What is demand function? Algebraic expression of negative relationship between price and quantity demanded.
- Demand Function Formula :

$$Qd = f(P)$$

Here,

P= Price

Qd= Quantity Demanded

f= Function

Law of Demand

Other things remaining constant, If-

price(↑) Quantity Demand(↓)

price(↓) Quantity Demand(↑)

EXCEPTIONS TO THE LAW OF DEMAND

1. In case of deliberately shortage
2. In case of luxury item
3. Sheer ignorance
4. If necessary items price goes higher
5. In case of out of fashion goods

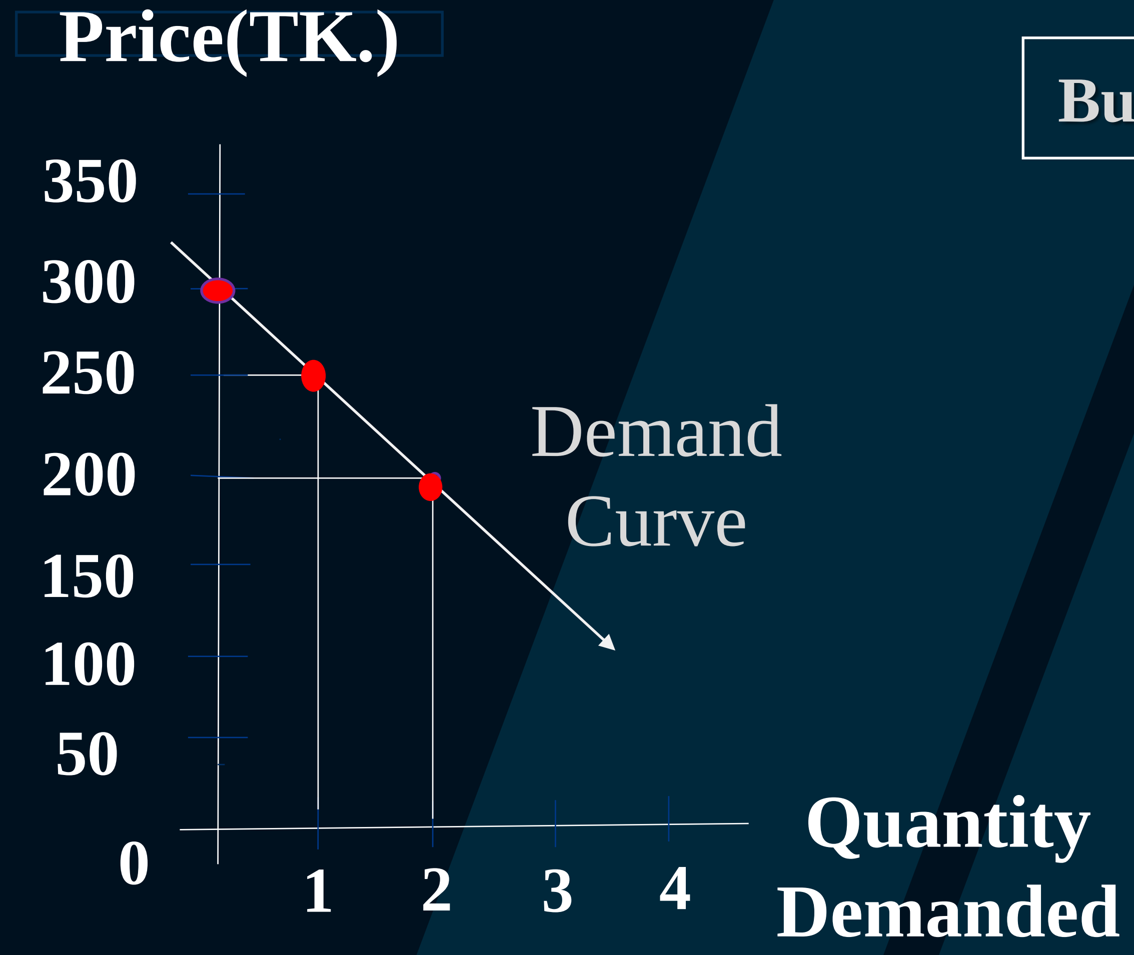
Individual & Market Demand

- Definition
- Demand Schedule:

Price of Product 'A'	Individual Demand			Market Demand
(TK.)	Buyer X	Buyer Y	Buyer Z	All Buyers Demand (X+Y+Z)
250	1	2	3	6
300	0	1	2	3
200	2	3	4	9

Individual & Market Demand(Cont.)

- Curve:



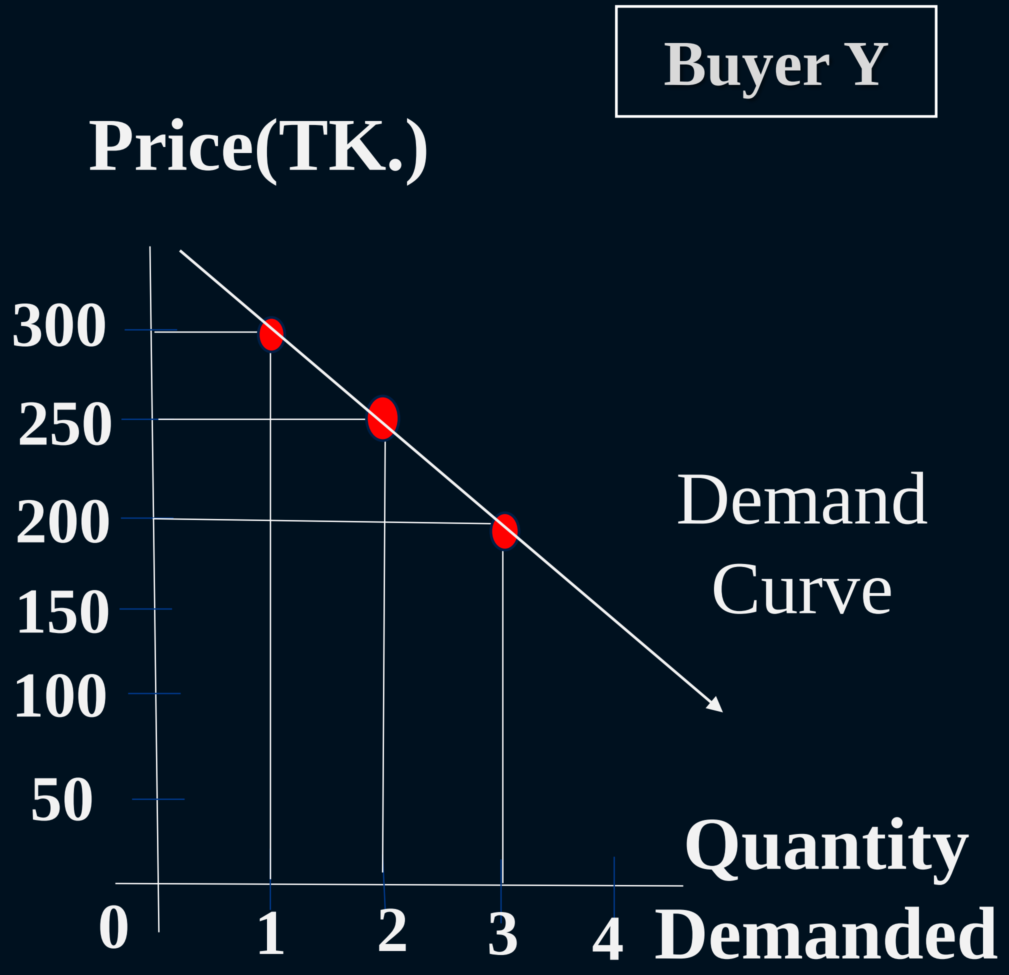
Buyer X

This curve is representing the individual quantity of demand of **buyer X**.

Individual & Market Demand(Cont.)

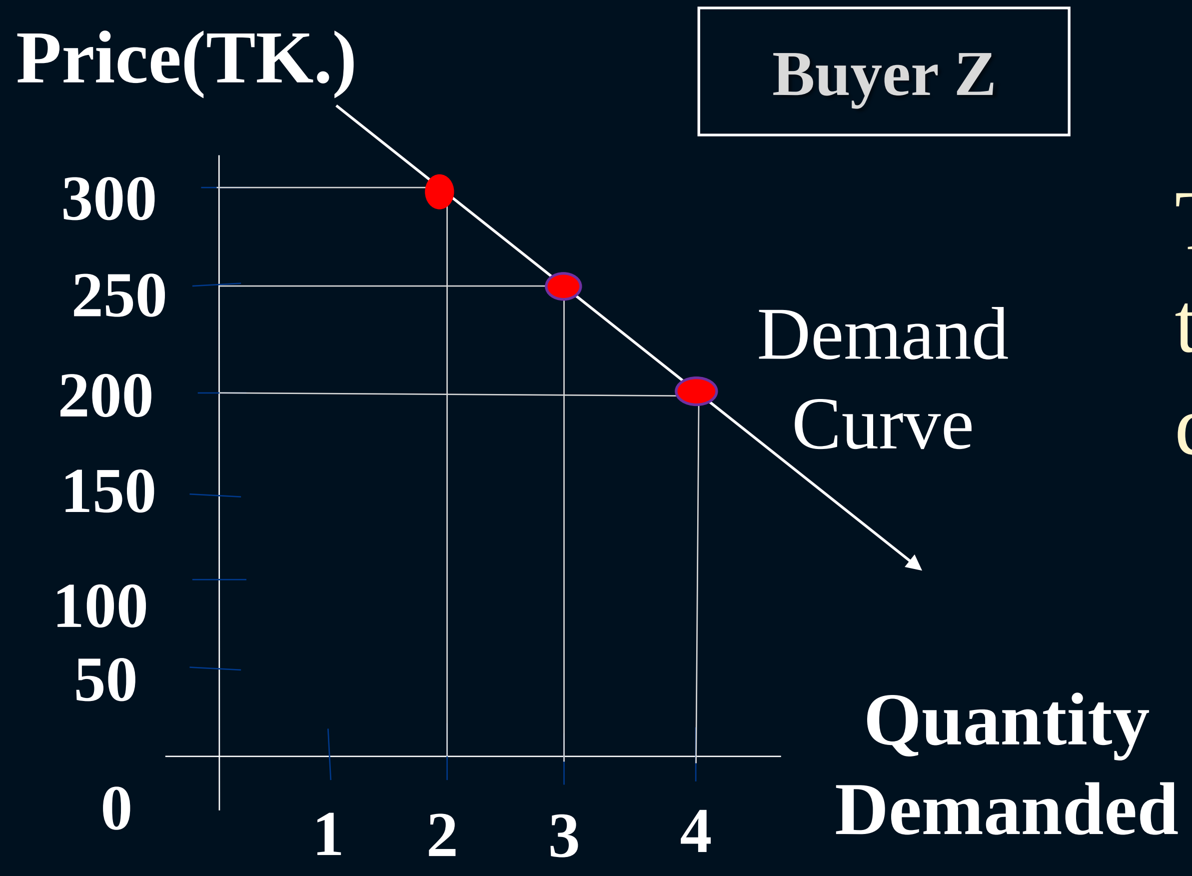
- **Curve:**

This curve is representing the individual quantity of demand of **buyer Y.**



Individual & Market Demand(Cont.)

Curve:

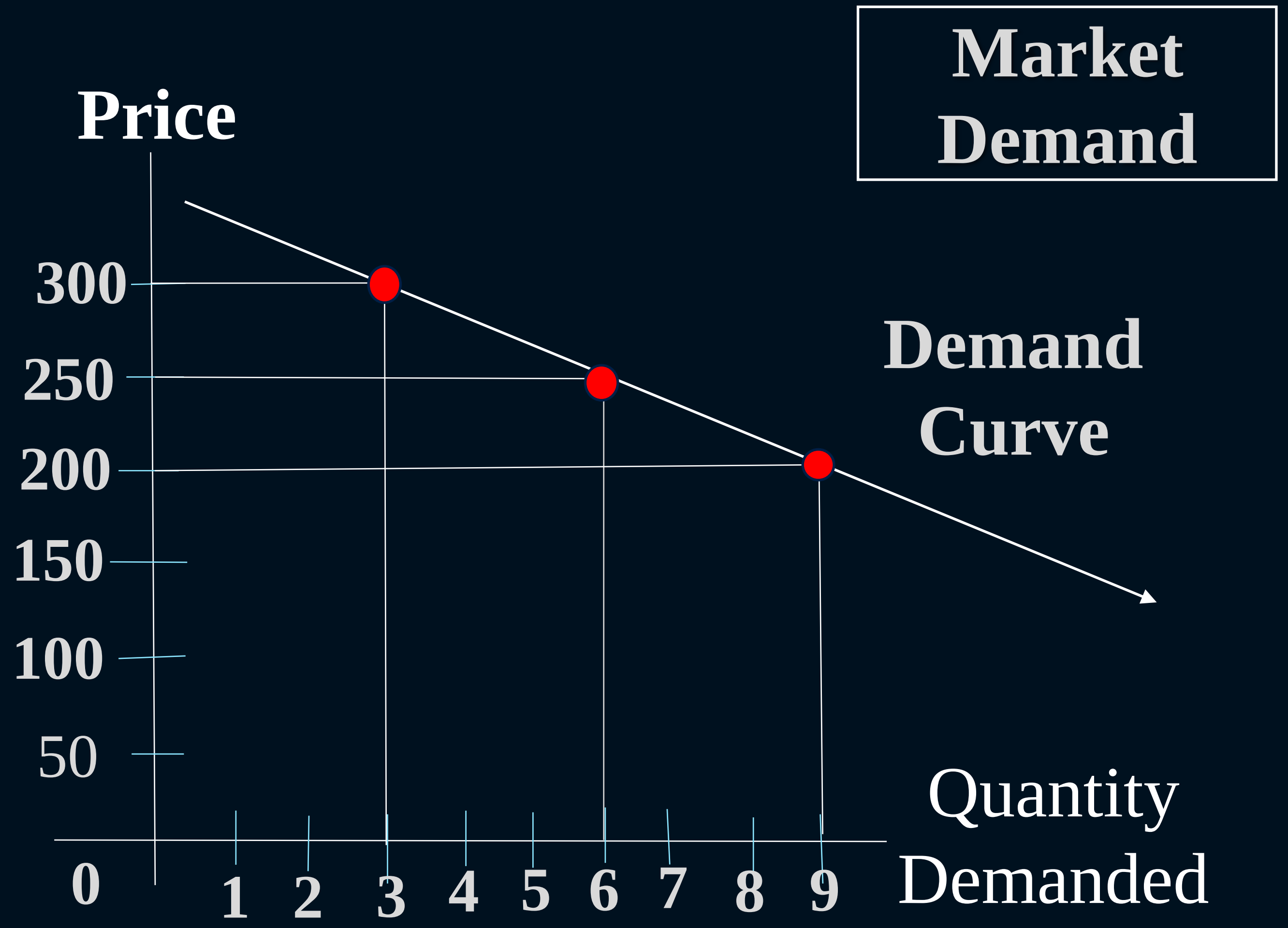


This curve is representing the individual quantity of demand of **buyer Z**.

Individual & Market Demand(Cont.):

Curve & Schedule:

Price of product (TK.)	Market Demand All Buyers Demand (X+Y+Z)
250	6
300	3
200	9



DETERMINANTS OF DEMAND

A Consumer's demand for a commodity or service depends on several factors, the most important of which are the following:

- Price of the commodity or service,
- Consumers' income,
- Prices of related goods or services,
- Consumer tastes and preferences,
- Age of the Population and its distribution.
- Consumers' expectations regarding future price
- Weather/seasonal matter.

Q&A Session!!

Thank You